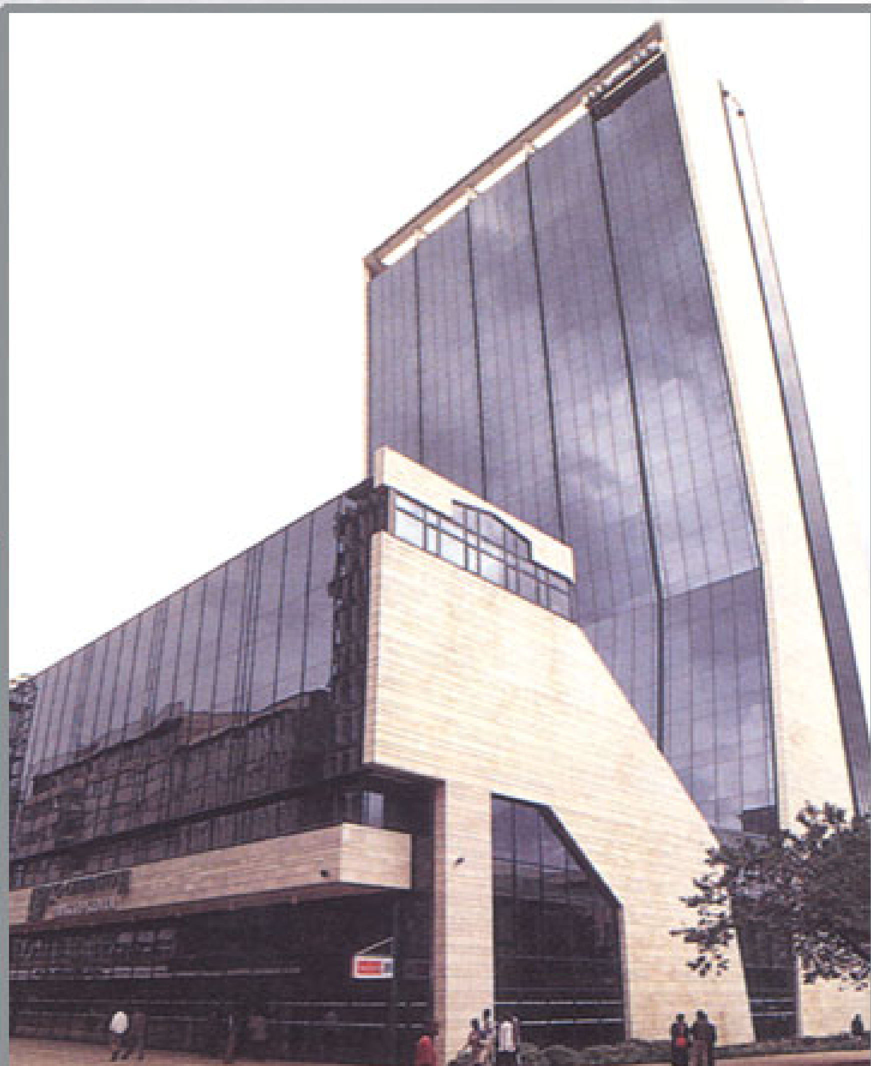


CO-OP BANK GROUP
QUARTER 1 2009 FINANCIAL RESULTS

INVESTOR AND MEDIA PRESENTATION
GIDEON MURIUKI - OGW
MANAGING DIRECTOR AND CEO

27th May 2009

CO-OP BANK

Quarterly Financial Results

- Co-op Bank is pleased to report a remarkable **Profit before Tax** of **Kshs.1.04 billion** for the period ended 31st March 2009 representing a commendable **29%** growth compared to **Kshs.805 million** recorded during the same period in year 2008.

Quarterly Financial Results

	31-Mar-09 KSHS (Mlns)	31-Mar-08 KSHS (Mlns)	% Change
Total Assets	89,727,379	68,298,832	31%
Loan Book	55,475,776	38,730,572	43%
Total Deposits	71,858,454	53,970,770	33%
Total Income	2,553,091	2,151,271	19%
Total expenses	1,514,384	1,346,049	13%
Profit before Tax	1,038,707	805,222	29%
Shareholders Funds	14,734,100	7,021,861	110%
Earnings Per Share	0.89	0.65	37%
Price Earnings Ratio	7.11	N/A	-

Quarterly Financial Results

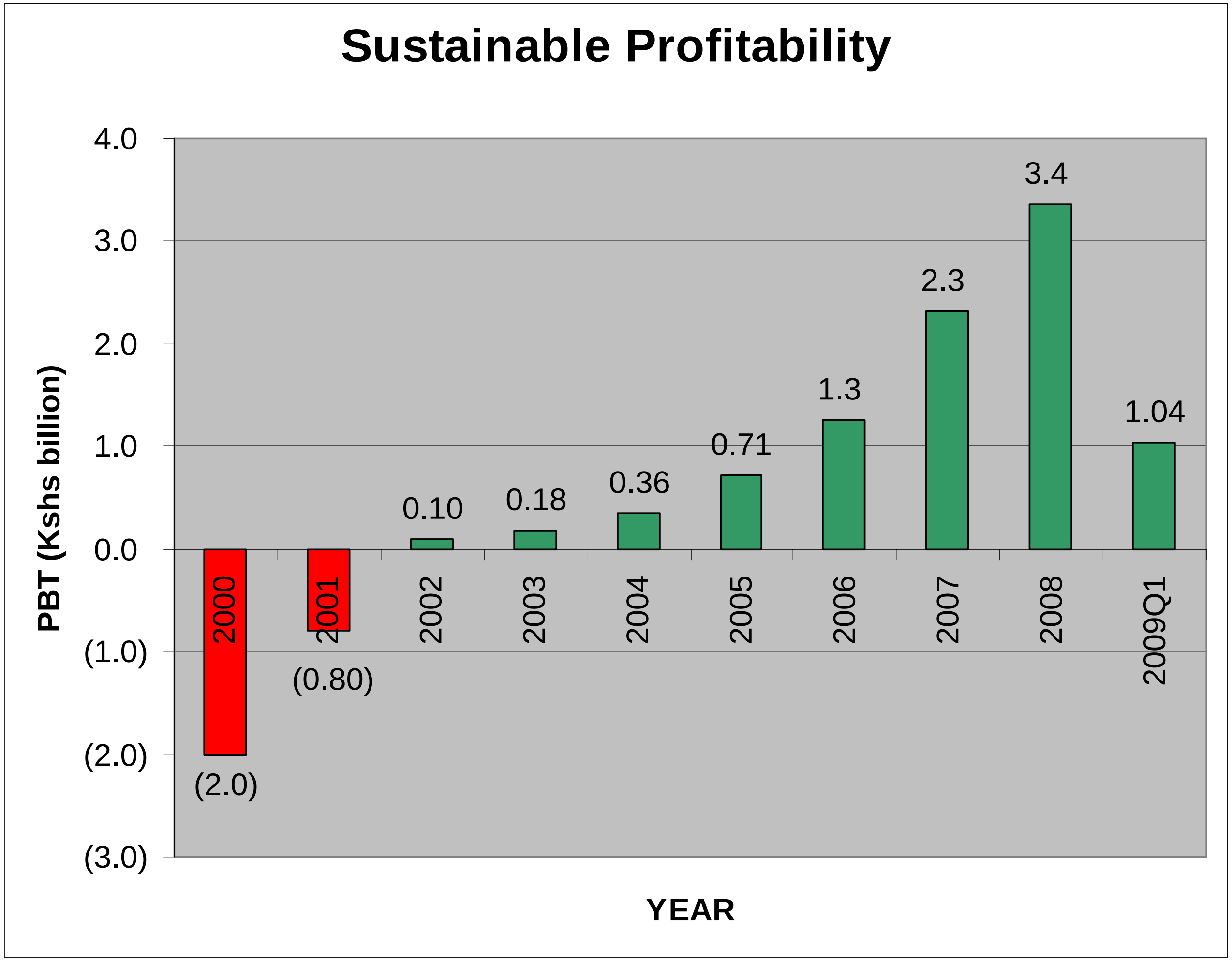
Total Income	↑	19% to Kshs 2.55 Bln
Total Expenses	↑	22% to Kshs1.51 Bln
Profit Before Tax	↑	29% to Kshs1.04Bln
Earning Per Share	↑	38 % to Kshs.0.89
Total Assets	↑	31% to Kshs.89.7
Shareholders Funds	↑	110% to Kshs.14.7
Price Earnings Ratio (31.03.09)		7.11

Quarterly Financial Results

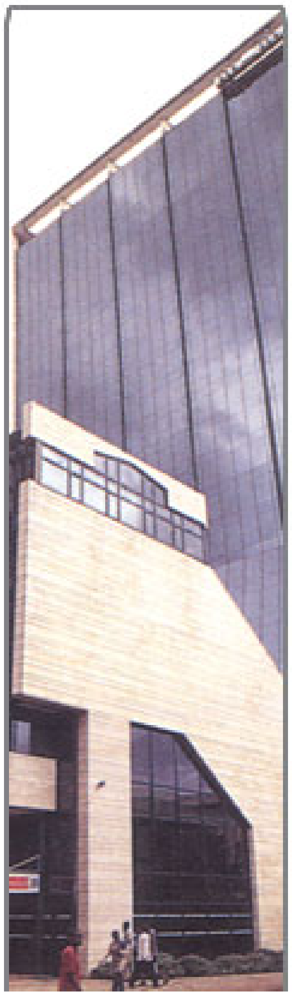
- This remarkable growth is a reflection that the Bank has successfully sustained its aggressive growth strategies despite the challenging economic circumstances being evidenced currently.

- After a successful listing/Initial Public Offering of the Bank's shares at the Nairobi Stock Exchange wherein the Bank increased its capital base to over **Kshs.14 billion** that is among the highest in the region, the Bank is notably delivering on the following key strategies highlighted hereunder:-

Key Strengths



Key Strengths



- A strong brand as the flagship carrier of the Co-operative Movement.
  - 7 Million Members.
  - 10,000 Co-operative Societies.
  - 4,000 Saccos.
  - 200 FOSAs for rural outreach.
- **Kshs.14.7 billion** Share Capital base.
- A successful operational and business restructuring.
- Key Investment in people and systems.

Key Strengths

- Successful balance sheet clean up
  - Kshs.5.2 billion coffee debt write-off
  - Merger/Clean Up of Co-op Merchant Bank.
- Successful Universal Banking Model
  - Co-operative Banking
  - Corporate and Institutional Banking
  - Retail Banking (Over 800,000 customers and 55 Branches and 195 ATMs.)
  - Treasury
  - Merchant and Investment Banking

Key Strengths

☞ Strong Risk Management Framework.

Key Strategies

i) Retail business growth

- To increase our deposit base and leverage on transaction based income, the bank has:
  - Already opened an additional 7 branches this year in Busia Enterprise Road, Mariakani Mombasa, Malindi, Siaya, Voi, and Zimmerman Nairobi.
  - On-going works on an additional 20 branches at prime retail locations for a projected total network of over 85 branches by year end.

Key Strategies

- Laid strategic focus on the key growth segment markets notably the childrens accounts (Jumbo Junior), the Youth (Yea Account) and Small and Medium Enterprise (SME) Banking.
- Launched a call center for superior customer service

Key Strategies

ii) Alternative Banking Channels

☞ The Bank has invested in superior Information Communication Technology (ICT) to increase its financial deepening particularly in the Co-operative Sector. Key initiatives in this area are:

- ✍ **The Front Office Service Activity (FOSA) Project**

  The Bank is providing capacity support aimed at increasing the number of Sacco FOSA’s to over 400 to facilitate access to financial services to the over 7 million members of the Co-operative Movement.

Key Strategies

- **Sacco Link**

  The Bank invested in a ICT switch that enables members of Saccos using the Sacco link debit card access cash at our ATM’s and goods/services at Visa branded outlets. Already over 120,000 cards have been issued and the product should hit over 300,000 users this year.

- **Point of Sale (POS)**

  The Bank is broadening the concept of branchless banking through the key Point of Sales (POS) project that is expected to cost over Kshs.200 million.

Key Strategies

iii) Diversification of Income Streams

☞ The Banks diversification strategy is on course through the following key initiatives:-

✍ **Subsidiary Companies**

Co-optrust Investment Services the Bank's wholly owned fund management subsidiary continues to register impressive performance with total funds under management at **Kshs.17 billion;** and is the leading locally owned fund management company.

Key Strategies

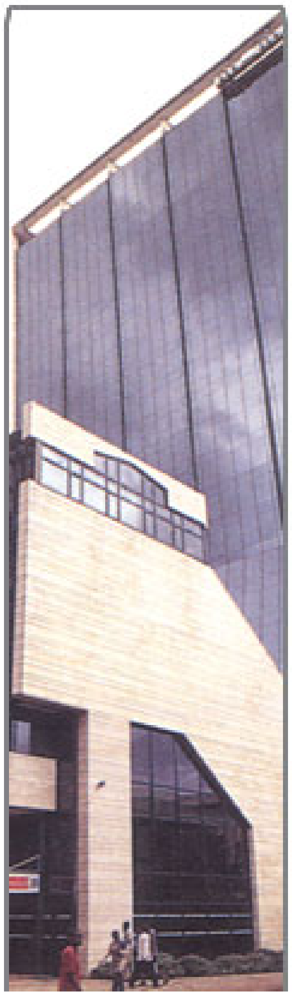
- **Subsidiary Companies**

  Co-operative Consultancy Services strengthened its corporate finance and capacity building role in the Co-operative Movement.

- **Stock Brokerage Business**

  As you are aware, through **Kingdom Securities Limited**, the Bank has acquired a strategic controlling stake in Bob Mathews Stock Brokers Limited. This acquisition is Co-op Bank's contribution towards strengthening and confidence building in our critical Capital Markets.

Key Strategies



Regional Expansion

The Bank is pursuing strategic expansion into the regional markets particularly Southern Sudan and Uganda. Already negotiations are in place for a strategic joint venture with the Government of South Sudan on behalf of their young Co-operative Movement.

Key Strategies

- **New Products**

  Started mortgage finance to leverage on our customer base and retail network.

Key Strategies

Cost Management

Smart initiatives have been employed to better manage our cost base notably:

- Staff optimization by leveraging on the new outlets; This is a smart move to substantially grow our retail network and revenue base at a stable head count.
- Continued investment in superior ICT platforms for added operational efficiency.
- Continued application of leasing option for all new bank outlets that is cheaper and also tax efficient.

Share Structure

Category	No. of shareholders	No. of Shares	%
Kenyan Individual Investors	112,774	939,112,300	26.9
Kenyan Institutional Investors	3,196	2,552,051,600	73.1
East African Individual Investors	27	275,300	0.0
East African Institutional Investors	4	6,000	0.0
Foreign Individual Investors	66	921,700	0.0
Foreign Institutional Investors	1	3,000	0.0
Total	**116,068**	**3,492,369,900**	**100.0**

Share Structure

- The shareholding profile depicts a largely held institutional share.
- Low liquidity explained by the unique governance structure with:
  - Huge **strategic** holding by the Co-op Movement through Co-opholdings Co-operative Society Ltd of 64.4% (locked in for a minimum of 5 years)
  - Staff and Directors 7.12% (locked in for 2 years)

Share Structure

- The strategic holding is a long term commitment by the key stakeholders.
- We project the freely trading volume to be well under 20% of the shares.
- A Growth Stock ; At the current prices an attractive **P/E of 6.85**

Appreciation

- We sincerely thank all our stakeholders for the continued incredible support that has seen the success of the **Kingdom Bank.** We have heavily invested in the Kenyan People and are confident of brighter days ahead despite the challenging environment.

Thank you & God bless you